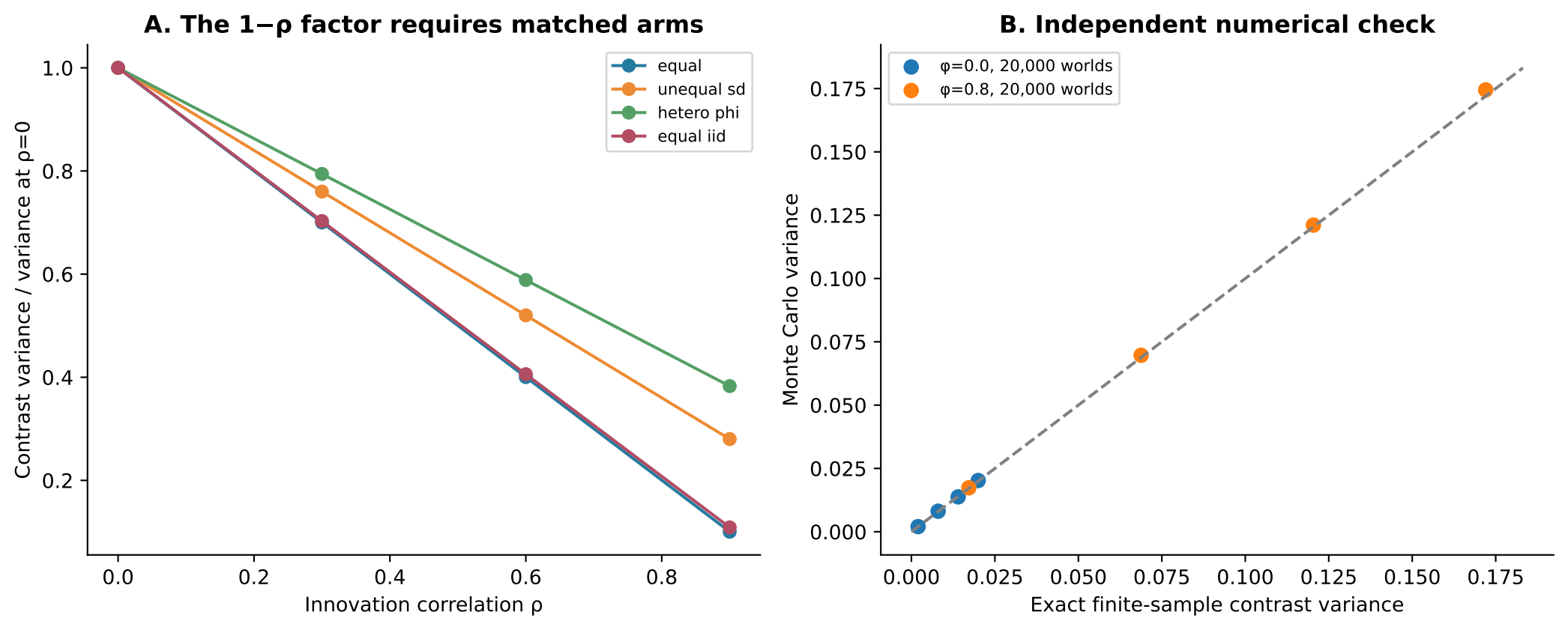
A. The 1−ρ factor requires matched arms
Contrast variance / variance at ρ=0
Innovation correlation ρ
equal
unequal sd
hetero phi
equal iid
1.0
0.8
0.6
0.4
0.2
0.0
0.2
0.4
0.6
0.8
B. Independent numerical check
Monte Carlo variance
Exact finite-sample contrast variance
φ=0.0, 20,000 worlds
φ=0.8, 20,000 worlds
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0.000
0.000
0.025
0.050
0.075
0.100
0.125
0.150
0.175